

you. Because they played a key role in the mortgage mess, with shady operators getting people into subprime loans and collecting big fees, they earned the industry a bad reputation. Despite the horror stories, though, some brokers can find you a better deal on a mortgage than you might find on your own because of their relationships with certain lenders. Before you sign up, find out exactly what you'll be charged for the service. The broker may charge you (or the lender) a fee—often 1% to 2% of the loan amount. So use a broker only if the mortgage he or she finds you, minus any fee you have to pay, is a better deal than the best mortgage you could get directly from a lender. And don't pay anything upfront.

- **Find out if you can lock in a rate.** Some lenders will allow you to lock in an interest rate when you “go to contract,” which means you sign an official document with the seller agreeing to transfer ownership of the property. Before you pay extra for a lock-in loan, find out all the details. Some lenders charge as much as \$350 to lock in a rate and won't refund the fee; others don't charge at all. These programs protect you if rates soar. If rates fall, however, many lenders will not allow you to renegotiate, so be sure you understand what you're committing to. Try to find a lender that offers this flexibility.

Before you lock in a rate, you should get preapproved by the lender so that you are sure you can get the loan you've paid to lock in. Also, ask how long the lock is good for. A month could go by between the time you sign the contract and the closing date (when you officially own the property), so to be safe try to get a minimum 60-day lock. It's a gamble, but if rates rise by the time you sign the papers, it could be worth it. A few hundred dollars upfront can save you thousands over the life of a loan.

- **Avoid excessive fees.** Some lenders try to boost their profits by charging for ridiculous services like “document preparation,” which is essentially just printing and can cost as much as \$150. Even more annoying is that you may not